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8. 9:00 AM CASE NUMBER: C25-00782
CASE NAME: AMIN SOBHANI VS. MERCEDEZ-BENZ USA, LLC,
*MOTION/PETITION TO COMPEL ARBITRATION
FILED BY:
TENTATIVE RULING:

Introduction

Before the Court is Defendant Mercedes-Benz USA, LLC's ("MBUSA" or "Defendant") motion to compel arbitration and stay this action. The Motion relates to Plaintiffs' Complaint for two causes of action breach of express and implied warranties under the Song-Beverly Consumer Warranty Act. This Motion to Compel Arbitration and Stay Proceedings ("Motion") is brought pursuant to the Federal Arbitration Act ("FAA"), 9 U.S.C. § 1281 et. seq. and Code of Civ. Proc. § 1281 et. seq. on the grounds that Plaintiff's claims against MBUSA – concerning a 2023 Mercedes EQE 350 – fall within the arbitration provision contained in the California Motor Vehicle Lease Agreement ("Agreement") by which Plaintiff leased from Mercedes-Benz of Walnut Creek.

For the reasons explained below, **Defendant's motion to compel arbitration is granted. The Court orders the Parties to submit their dispute to arbitration in accordance with the Important Arbitration Disclosures section in the subject Lease Agreement. The Court orders this matter to be stayed in full, pending conclusion of the arbitration.**

Procedural Background

Plaintiffs filed the original complaint in this action on March 19, 2025, asserting two Song-Beverly Consumer Act causes of action.

On September 18, 2025, Defendant moved to compel arbitration.

Legal Standard for Motions to Compel Arbitration

A motion to compel arbitration "is in essence a suit in equity to compel specific performance of a contract." (*Cal. Teachers Ass'n v. Governing Bd.* (1984) 161 Cal.App.3d 393, 399, citation omitted.) "A party who files a motion to compel arbitration 'bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, and a party opposing the

petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (*Alvarez v. Altamed Health Services Corp.* (2021) 60 Cal.App.5th 572, 580 quoting *Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) Whether or not the arbitration clause is governed by federal law, the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law and procedures. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413).)

In California, “[a] strong public policy favors the arbitration of disputes, and doubts should be resolved in favor of deferring to arbitration proceedings.” (*Laswell v. AG Seal Beach, LLC* (2010) 189 Cal.App.4th 1399, 1404-1405 [citation omitted].) “A trial court is required to order a dispute to arbitration when the party seeking to compel arbitration proves the existence of a valid arbitration agreement covering the dispute.” (Id. [citation omitted]; Cal. Civ. Code Proc. § 1281.2.) As a result of this public policy, “a heavy presumption weighs the scales in favor of arbitrability....” (*Cione v. Foresters Equity Servs., Inc.* (1997) 58 Cal.App.4th 625, 642 [citation omitted].)

Analysis

Defendants’ Initial Burden

It is uncontroverted that on December 23, 2023, Plaintiff signed a California Motor Vehicle Lease Agreement (“Lease Agreement”), by which Plaintiff agreed to resolve any disputes “between you [Plaintiff] and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz US LLL (each a ‘Third Party Beneficiary’)” concerning the condition of the Subject Vehicle by binding arbitration. (Bakstad Decl., Ex. A.) The Lease Agreement has an Arbitration Disclosure Section that provides,

“Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third-Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or

relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.”

(Bakstad Decl., Ex. A, pp. 4-5.)

Thus, Defendant has met its burden by proving the existence of a valid arbitration agreement under a third-party beneficiary theory. Now the burden shifts to Plaintiff to prove a valid defense to the arbitration agreements exist by a preponderance of the evidence

Defendant is a Named Third-Party Beneficiary

Plaintiff objects to arbitration on the grounds that “arbitration is a matter of contract” and there is no contractual privity between Plaintiff and MBUSA. (Opp. at pp. 7-8.) However, the law is clear that a non-signatory may compel arbitration, or be bound to an agreement to arbitrate, where it is a third-party beneficiary of the agreement. (*Suh v. Superior Court* (2010) 181 Cal.App.4th 1504, 1513.) “A third-party beneficiary is someone who may enforce a contract because the contract is made expressly for his benefit.” (*Jensen v. U-Haul Co. of California* (2017) 18 Cal. App. 5th 295, 301.) Here, Plaintiff signed an agreement which specifically defines Defendant MBUSA as a “Third-Party Beneficiary” of the lease. The agreement further indicates the intent for third-party beneficiaries to be able to compel arbitration.

The parties’ Opposition and Reply papers reference both the Appellate and California Supreme Court *Ford Motor Warranty Cases*. (See *Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324; and *Ford Motor Warranty Cases* (2023) 17 Cal. 5th 1122.) In *Ford Motor Warranty Cases*, a unanimous Supreme Court found that the “third party beneficiary” language in an arbitration clause was not properly read as binding the buy of the vehicle to arbitrate with unnamed third parties. *Ford Motor Warranty Cases*, supra, 17 Cal. 5th at 1127.

Plaintiff’s opposition heavily relied on the *Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324 under the premise that Plaintiff’s claims solely “arise from a statutory scheme separate and apart from the contracts.” In that case, the relevant provision of the contracts at issue stated,

“EITHER YOU OR WE MAY CHOOSE TO HAVE ANY DISPUTE BETWEEN US DECIDED BY ARBITRATION AND NOT IN COURT OR BY JURY TRIAL.” It later elaborates: “[a]ny claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, and the arbitrability of the claims or dispute), between you and us OR our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase, or condition of this vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who did not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action.” *Ford Motor Warranty Cases* (2025) 17 Cal. 5th 1122, 1127 (citation omitted).

The Appellate Court had determined that Ford Motor Company was not a third-party beneficiary, stating “[i]f the signatories had intended to benefit Ford Motor Company (“FMC”), such a purpose would have been easy to articulate. *They could have simply named FMC—directly or by class as the vehicle’s manufacturer—as a person entitled to compel arbitration.* But they did not.” (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1339 (emphasis added).)

The Supreme Court affirmed the Appellate Court specifically noting, “Ford, the manufacturer, was not a party to, *or named in*, the sales contracts.” (*Ford Motor Warranty Cases* (2023) 17 Cal. 5th 1122, 1126.) The Supreme Court adopted the Appellate Court’s assessment that “The sales contract says nothing of binding the purchaser to arbitrate with the universe of unnamed third parties.” (*Id.* at 1130.)

Here, the arbitration clause’s specification of Mercedes Benz USA, LLC as a third-party beneficiary directly addresses the Supreme Court’s concerns of subjecting a party to arbitrate with a “universe of unnamed third parties.” (*Id.* at 1130; See also Bakstad Decl., Ex. A, pp. 4-5.) Thus, the Court finds Plaintiff agreed in the Arbitration Clause to arbitrate with Defendant MBUSA, as a

specifically designated third party beneficiary.

Defendant Is Not Moving on the Grounds of Equitable Estoppel

Under the equitable estoppel theory, a non-signatory “‘is estopped from avoiding arbitration if it knowingly seeks the benefits of the contract containing the arbitration clause.’” (*Crowley Maritime Corp. v. Boston Old Colony Ins. Co.* (2008) 158 Cal.App.4th 1061, 1070.) Equitable estoppel “precludes a party from claiming the benefits of a contract while simultaneously attempting to avoid the burdens that contract imposes.” (*Philadelphia Indemnity Ins. Co. v. SMG Holdings, Inc.* (2019) 44 Cal.App.5th 834, 841; citing *Comer v. Micor, Inc.* (9th Cir. 2006) 436 F.3d 1098, 1101.)

Plaintiff devotes a large part of the Opposition to the argument that Defendant MBUSA has not established equitable estoppel. However, Defendant does not move on that ground and instead moves as a third-party beneficiary to enforce the Arbitration Disclosure section of the Lease Agreement. Plaintiff’s equitable estoppel argument is not applicable here because a Defendant did not argue based on an equitable estoppel theory. Equitable estoppel is tool to compel parties to arbitration which Defendant has not chosen to employ.

Stay

The Important Arbitration Disclosures in this case indicate that the lease shall be governed by the Federal Arbitration Agreement. (Bakstad Decl. ¶ 4, Ex A.)

Under the FAA, courts must stay an action where “the issue involved in such suit or proceeding is referable to arbitration under an arbitration agreement.” (9 U.S.C § 3.)

Independent of the CAA and FAA, courts have inherent authority to stay proceedings. (*Landis v. North American Co.* (1936) 299 U.S. 248, 254 [“the power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants”]; *Nederlandse Erts-Tankersmaatschappij, N.V. v. Isbrandtsen Co.* (2nd Cir. 1964) 339 F.2d 440, 441 [no authority under 9 U.S.C. § 3 to stay action, but stay permitted under district court’s inherent power to control its docket]; *Freiberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484,

1489 [“Trial courts generally have the inherent power to stay proceedings in the interests of justice and to promote judicial efficiency”).) Even assuming the CAA and FAA neither require nor authorize the court to stay the current claims, the Court here would exercise its inherent authority to issue a stay pending the completion of binding arbitration.

Conclusion

Defendant’s motion to compel arbitration is granted. The Court orders the Parties to submit their dispute to arbitration in accordance with the Important Arbitration Disclosures section in the subject Lease Agreement. The Court orders this matter to be stayed in full, pending conclusion of the arbitration.

The court sets a Case Management Conference (CMC) for the purpose of ascertaining the status of the arbitration for Monday, December 7, 2026, in Dept. 32 at 8:30 a.m. Parties are ordered to file a joint statement on the status of the arbitration, specifically to include confirming whether or not the arbitration is still in progress, and if the arbitration is continuing indicating a preference for a continued CMC in either 6 or 9 months. The joint statement is due to be filed 10 court days prior to the CMC. Parties may appear at the CMC by Zoom.

9. 9:00 AM CASE NUMBER: C25-03095
CASE NAME: WELLS FARGO BANK, NATIONAL ASSOCIATION VS. ROSEWOOD COMMONS
PROPERTY OWNER, LLC
*HEARING ON MOTION IN RE: APPOINTMENT OF RECEIVER
FILED BY: WELLS FARGO BANK, NATIONAL ASSOCIATION
TENTATIVE RULING:

Plaintiff’s Motion for Appointment of Receiver is granted. The Court approves the nomination of David Kieffer to be the Receiver in this action. The Court will sign and file the Proposed Order.

10. 9:00 AM CASE NUMBER: C25-03386
CASE NAME: CECILY TAYLOR VS. STEVE SMITH
*HEARING ON MOTION IN RE: DISQUALIFY COUNSEL
FILED BY: TAYLOR, CECILY
TENTATIVE RULING:

Before the Court is Plaintiff Cecily Taylor’s Motion to Disqualify Counsel.